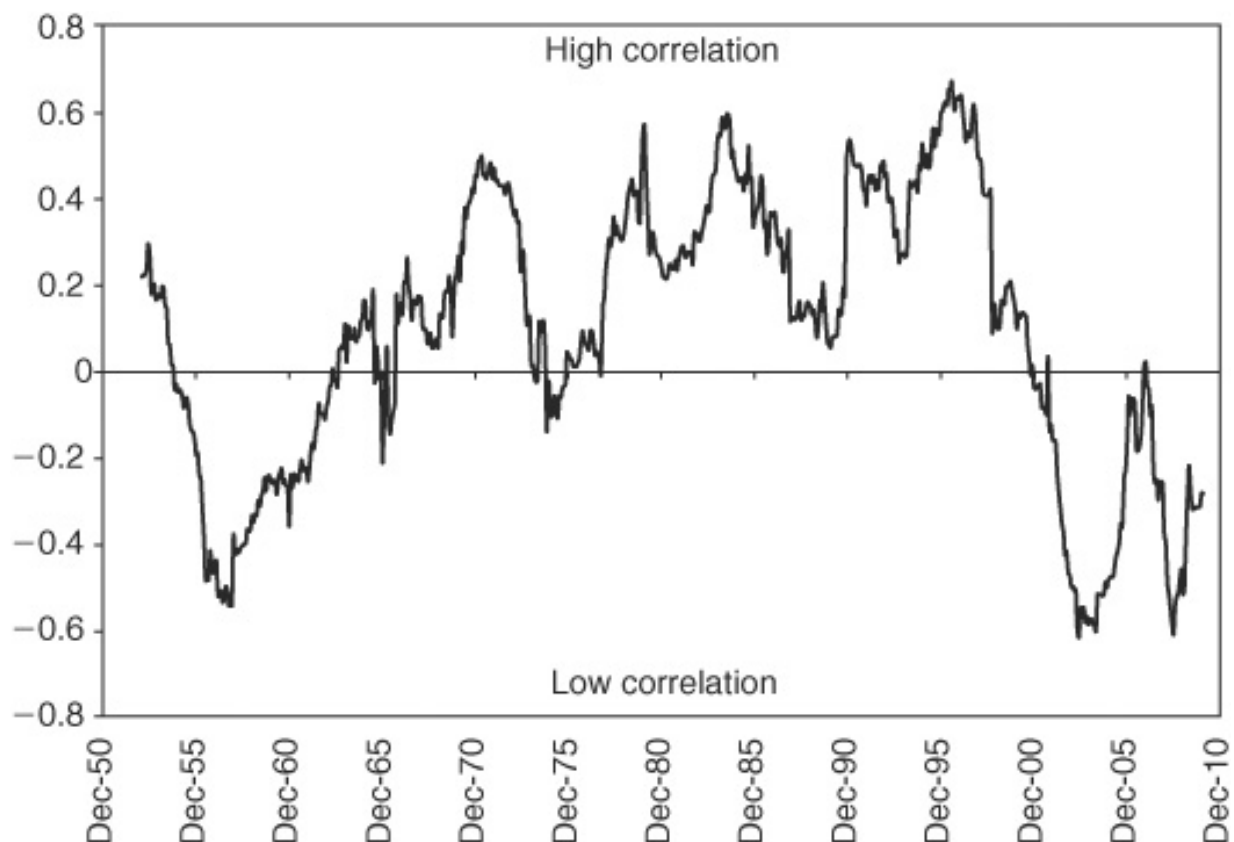


U.S. stocks and Treasury notes were negatively correlated during most of the 1950s. The correlation shifted over the next 40 years from negative to noncorrelated to positive. The peak positive correlation occurred in the mid-1990s. Then correlation shifted to negative again in the late 1990s, hitting high negative correlation by 2004 and again in 2008.

FIGURE 5-3

S&P 500 and Intermediate-Term Treasury Note Three-Year Rolling Correlations



U.S. stocks and T-notes have provided good diversification in a portfolio over most periods despite the varying correlation. It is not necessary for two investments to have consistent negative correlation, or consistent noncorrelation, or even consistent low correlation for them to be useful in asset allocation. An investment will help reduce long-term portfolio risk and increase long-term return as long as it does not have consistently high positive correlation with another investment already in your portfolio.

The Asset Class Has Low-Cost Availability